

26STCV12390 26STCV12390

County: los-angeles

Division: Civil Law and Motion

Department: 310

Hearing date: 2026-07-07

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Case Number: 26STCV12390 Hearing Date: July 7, 2026 Dept: 310

Tentative Ruling

Judge Kevin C. Brazile

Department 310

Hearing Date: July 7, 2026

Case Name: Pena v. Hyundai Motor America, et al.

Case No.: 26STCV12390

Matter: Motion to Compel Arbitration

Moving Party: Defendant Hyundai Motor America

Responding Party: Plaintiff Blanca Pena

Notice: OK

Ruling: The Motion is denied.

Moving party to give notice.

The Court encourages all parties to appear remotely via LA CourtConnect. If submitting on the Court's tentative ruling, please follow the instructions provided above.

This is a lemon law matter. Defendant Hyundai Motor America now seeks to compel arbitration based on (1) its warranty manual and (2) its Bluelink Connected Services Agreement ("CSA").

“[O]n petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists.” (Code Civ. Proc. § 1281.2; see also *EFund Capital Partners v. Pless* (2007) 150 Cal.App.4th 1311, 1320 [the language in section 1281.2 compelling arbitration is mandatory].) The right to compel arbitration exists unless the court finds that the right has been waived by a party’s conduct, other grounds exist for revocation of the agreement, or where a pending court action arising out of the same transaction creates the possibility of conflicting rulings on a common issue of law or fact. (Code Civ. Proc. § 1281.2(a)-(c).)

“On a petition to compel arbitration, the trial court must first determine whether an agreement to arbitrate the controversy exists. Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence. The party seeking arbitration can meet its initial burden by attaching to the petition a copy of the arbitration agreement purporting to bear the respondent’s signature.” (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541.) The party seeking to compel arbitration must also “plead and prove a prior demand for arbitration and a refusal to arbitrate under the agreement.” (*Mansouri v. Superior Court* (2010) 181 Cal.App.4th 633, 640-641.)

The Court will not compel arbitration based on the warranty. Nothing in the Manual suggests that a contract was created with respect to arbitration. Among other things, essential to a contract are: parties capable of contracting, and their consent. (Civ. Code § 1550.) Generally speaking, one must be a party to an arbitration agreement to be bound by it or invoke it. (*Westra v. Marcus & Millichap Real Estate Investment Brokerage Co., Inc.* (2005) 129 Cal.App.4th 759, 763.) Strong public policy in favor of arbitration does not extend to those who are not parties to an arbitration agreement, and a party cannot be compelled to arbitrate a dispute that he has not agreed to resolve by arbitration. (*Buckner v. Tamarin* (2002) 98 Cal.App.4th 140, 142.) Terms of a contract are ordinarily to be determined by an external, not an internal standard; the outward manifestation or expression of assent is the controlling factor. (*Windsor Mills, Inc. v. Collins & Aikman Corp.* (1972) 25 Cal.App.3d 987, 992.) Where an offeree does not know that a proposal has been made to him, this objective standard does not apply. (*Id.* at p. 993.) An offeree, regardless of apparent manifestation of his consent, is not bound by inconspicuous contractual provisions of which he was unaware, contained in a document whose contractual nature is not obvious. (*Ibid.*) This principle of knowing consent applies with particular force to provisions for arbitration; if a party wishes to bind in writing another to an agreement to arbitrate future disputes, such purpose should be accomplished in a way that each party to the arrangement will fully and clearly comprehend that the agreement to arbitrate exists and binds the parties thereto. (*Id.* at pp. 993-994.) Defendant has not demonstrated that plaintiff signed any agreement under the Manual, nor that he had notice from either the dealer or Defendant that there was any agreement to arbitrate in the Manual, and that his failure to opt out constituted an agreement. Plaintiff did not expressly assent to any agreement in the handbook or act in a manner in which his failure to opt out was intended to accept the arbitration agreement. Based on the above, the court finds that the Manual is not an enforceable written agreement to arbitrate. (*Windsor Mills, Inc. v. Collins & Aikman Corp.*, *supra*, 25 Cal.App.3d at pp. 993-994 [finding that where a plaintiff was not advised of the arbitration provision and had no knowledge of the provision until after the demand for arbitration, there is no agreement to arbitrate, regardless of outward manifestations of apparent assent by acceptance of the object of the contract].)

Moreover, “Language in a written warranty agreement is ‘contractual’ in the sense that it creates binding, legal obligations on the seller, see *Daugherty v. Am. Honda Motor Co.*, 144 Cal.App.4th 824, 830, 51 Cal.Rptr.3d 118 (2006), but a warranty does not impose binding obligations on the buyer. Rather, warranty law ‘focuses on the seller’s behavior and obligation—his or her affirmations, promises, and descriptions of the goods—all of which help define what the seller in essence agreed to sell.’ *Weinstat*, 180 Cal.App.4th at 1228, 103 Cal.Rptr.3d 614 (internal quotation marks omitted); see also Cal. Com. Code § 2313. A buyer may have to fulfill certain statutory conditions to obtain the benefit of a warranty. See, e.g., Cal. Civ. Code § 1793.02(c) (stating that ‘[i]f the buyer returns the [assistive device for an individual with a disability] within the period specified in the written warranty,’ the seller must adjust or replace the device (emphasis added)). But a warranty generally does not impose any independent obligation on the buyer outside of the context of enforcing the seller’s promises. *Weinstat*, 180 Cal.App.4th at 1228, 103 Cal.Rptr.3d 614 (‘[T]he whole purpose of warranty law is to determine what it is that the seller has in essence agreed to sell...’ (internal quotation marks omitted)); Cal. Com. Code § 2313(1)(a) (stating that an express warranty is a ‘promise made by the seller to the buyer which relates to the goods’).” (*Norcia v. Samsung Telecommunications Am., LLC* (9th Cir. 2017) 845 F.3d 1279, 1288.)

Next, the CSA states, “Hyundai and you agree to arbitrate any and all disputes and claims between us arising out of or relating to this Agreement, Connected Services, Connected Services Systems, Service Plans, the Vehicle, use of the sites,

or products, services, or programs you purchase, enroll in or seek product/service support for, whether you are a Visitor or Customer, via the sites or through mobile application, except any disputes or claims which under governing law are not subject to arbitration, to the maximum extent permitted by applicable law. This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us subject to arbitration to the fullest extent permitted by law.”

Defendant has not met its burden to show that Plaintiff’s claims are encompassed by the Bluelink CSA. According to Defendant, the Bluelink system refers to a connected car system that includes various functions and features. It does not appear that any of Plaintiff’s claims involve the Bluelink system. The Complaint does not mention the Bluelink system. If the CSA can somehow be interpreted to include unrelated claims, then the Court finds the CSA arbitration provision to be unconscionable. (*Armendariz v. Found. Health Psychcare Servs., Inc.* (2000) 24 Cal.4th 83, 114.)

Therefore, the Motion to Compel Arbitration is denied.

The RJN is granted.

Moving party to give notice.